



ISE549 Management of Innovation and Technology

Corporate Entrepreneurship & Intrapreneurs

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1082



1084

Examples of famous intrapreneurship:

Innovation	Company	Intrapreneur Context
Post-it Notes	3M	Developed by employees inside 3M
Gmail	Google	Developed under Google's innovation culture
PlayStation	Sony	Initially proposed internally by an engineer
IBM PC	IBM	Internal venture team
Macintosh	Apple	Semi-autonomous internal team



1085

Intrapreneur and intrapreneurship

- **Intrapreneur:** An employee of a company that, together with other employees, initiates and develops an entrepreneurial approach, having a certain degree of entrepreneurial and managerial autonomy, being rewarded according to the results obtained (Ionescu and Bolcas, 2019)
- **Intrapreneurship:** A process that goes on inside an existing firm, regardless of its size, and leads not only to new business ventures but also to other innovative activities and orientations such as development of new products, services, technologies, administrative techniques, strategies, and competitive postures (Antoncic and Hisrich, 2001, p.498)
- **Intrapreneurship:** *Entrepreneurship in organisations*



1086

What is Intrapreneurship?

Intrapreneurship

The purposeful and supported attempt to develop more entrepreneurial behaviour within a company to improve market performance. Intrapreneurship encompasses:

- activities that receive organisational sanction and resources to achieve innovative outcomes;
- the creation of an entrepreneurial spirit within an organisation, allowing an innovation culture to prosper;
- The generation, development and implementation of new ideas or behaviours;
- a focus on re-energising and enhancing a firm's ability to acquire innovative skills and capabilities; and
- the creation, by intrapreneurial individuals within an organisation, of:
 - strategic renewal,
 - innovation (introducing something new to the marketplace), and
 - corporate venturing (creation of new business organisations).

Source: Kurakto and Hodgetts (2004).

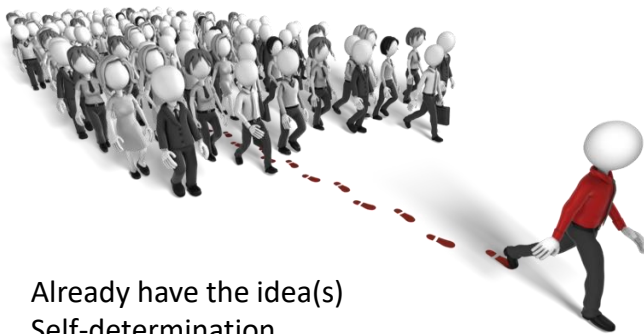


Source: T. Mazzarol and S. Reboud, Entrepreneurship and Innovation – Theory, Practice and Concepts, 4th Edition, Springer, 2020.

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Starting a company Vs Joining a company

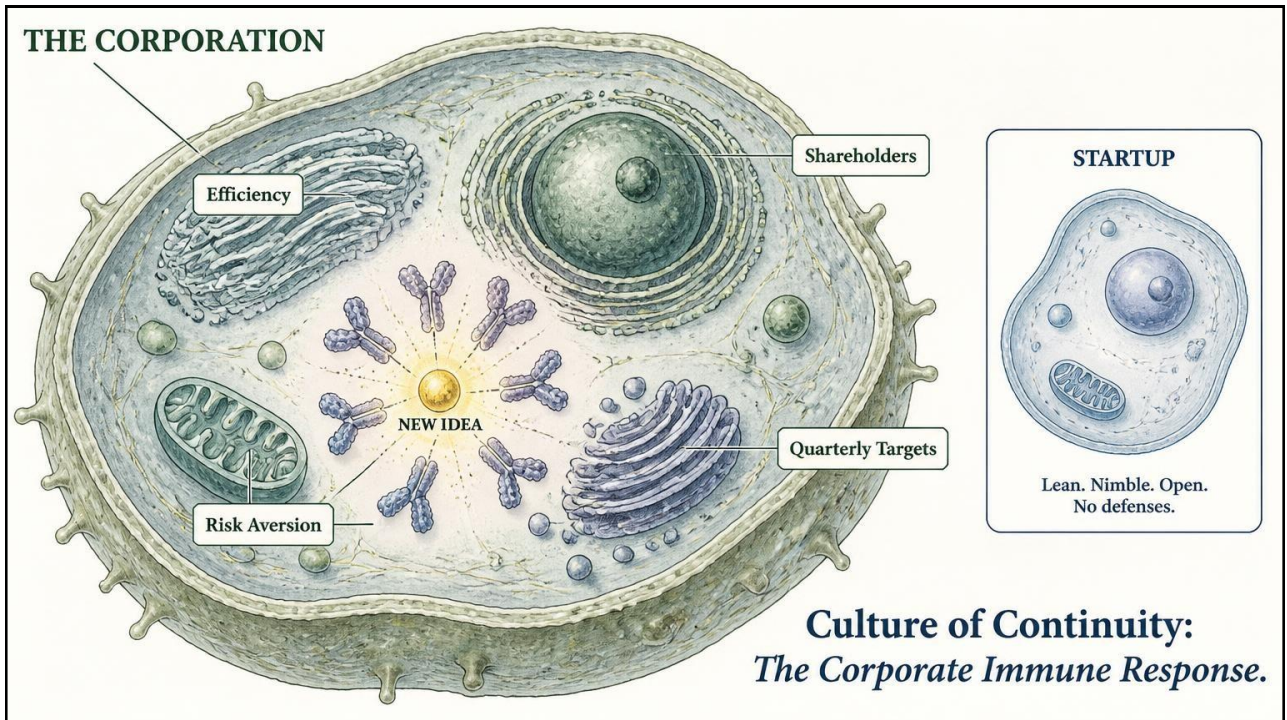


Already have the idea(s)
 Self-determination
 Put together his/her own team
 Secured funding
 Form partnerships based on the leader's network
 Company starting from scratch
 ...

Need to study and assess what the employer possesses
 Receive directives from the employer
 Work with existing team(s)
 Funding from employer and/or partners
 Form partnerships based on the employer's network
 Company culture, structure & processes already existed
 ...



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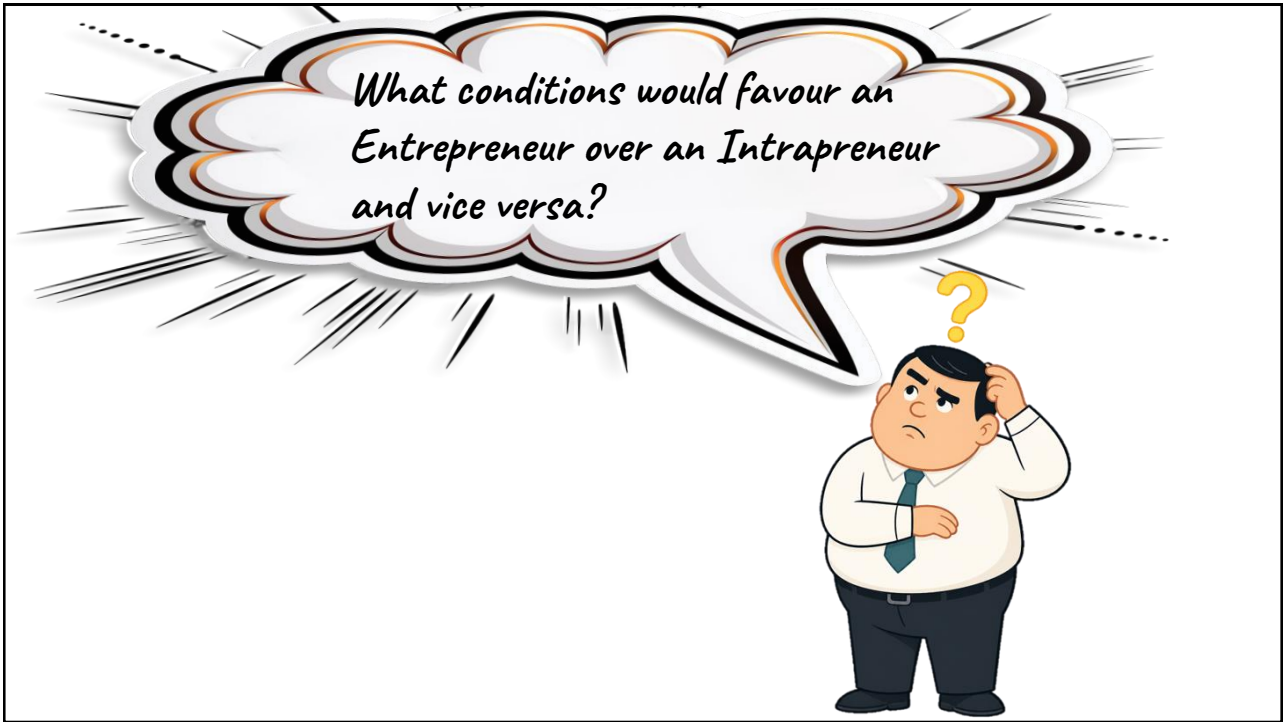
Intrapreneur vs. Entrepreneur

	Entrepreneur	Intrapreneur
Common	Take new ideas and develop solid, functioning, and profitable business	
	Want to change status quo to ensure ongoing improvement and success (Simith et al., 2016)	
	Share similar intrinsic motivators based around interest, risk, passion, control, enjoyment of work, empowerment and the desire to add value (Simith et al., 2016)	
	Need business planning	
Differences	Innovate for themselves	Innovate on behalf of an established organisation
	Mostly own much of the business	Have no equity or at most a small percentage
	Don't have much support	Receive support from the organisation
	Micro-enterprise and small firms	Medium- and large-sized organisation
	Higher risks and uncertain incomes	Lower risks and lower but steady incomes

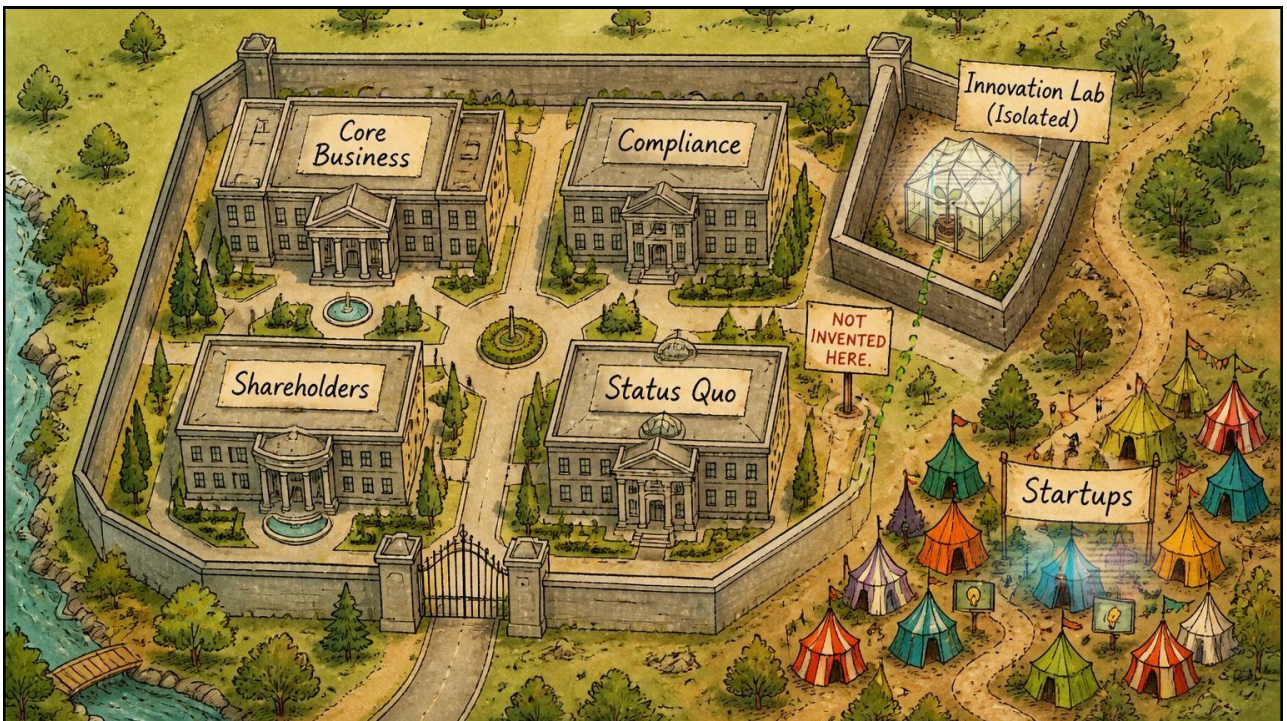


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Innovating as a Startup

The Power of One Idea

No one starts a business without a great idea — born from frustration, insight, or observation of an emerging market. The best entrepreneurs have **exactly one idea** and place everything behind it: all mental energy, all resources, all hopes. This singular focus lets them ignore distractions without guilt.

Building from scratch means no existing infrastructure or revenue streams to protect. Disruption is the goal, not the threat.



Growing Challenges for Entrepreneurs

Outrageous expectations are a mounting burden. In the startup world, anything short of a billion-dollar "unicorn" raises eyebrows — making it exceptionally hard to get good ideas funded when investors demand a "nine zero" outcome.

Talent acquisition is improving, however. The COVID-driven rethink about work means good talent is easier to obtain, as professionals leave corporate jobs to join or found startups.

The Ultimate Risk

The entrepreneur bets everything — themselves, their team, their idea. If the market shifts or a competitor wins, they start over with no safety net. The downside is severe; the upside can be extraordinary.

1096

Innovating Inside a Corporation

The corporate innovator — or **intrapreneur** — can be just as creative as any founder. They simply face a far more complex set of obstacles simultaneously.

Competing Priorities & Portfolio Management

Multiple people believe their idea deserves funding, creating fierce competition for a limited innovation budget. A truly innovative company must maintain a regularly evolving portfolio with rigorous prioritisation — because a great idea that can't get resourced has no value.

Threat to Existing Revenue Streams

Internal ideas can threaten existing products, challenge the core business model, or exceed the company's capability to execute. Corporate innovators must always confront the reality that the company is **currently making money** — and brilliant new ideas can threaten those profit streams.

Risk-Averse Culture

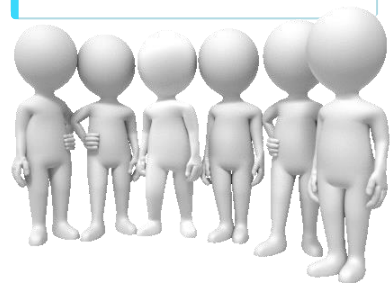
Decades of outsourcing, rightsizing, and Six Sigma have trained management to **dislike change and uncertainty**. Failure in a funded project is judged harshly — a cultural constraint that startups simply don't face.

Funding: Available but Hard to Acquire

Most large companies can afford innovation, yet funding remains elusive. Annual budget cycles force unplanned projects to wait or "steal" funds. Cost-saving activities are always preferred, and without reliable frameworks, estimating project costs is guesswork.

Development & Launch Complexity

Even after validating an idea, the innovator typically does **not own** the development or marketing resources needed. They must negotiate for limited capacity across separate departments, competing against many other priorities.



1097

When *Entrepreneurs* have a Clear Advantage

Condition	Why Entrepreneur Wins
Disruptive innovation threatening incumbents	Established firms often protect existing products and revenue. Entrepreneurs can aggressively pursue disruptive ideas without internal resistance.
Rapid experimentation and pivoting	Entrepreneurs can change direction overnight without seeking management approval.
Serving niche or unproven markets	Large firms may see the market as too small. Entrepreneurs are happy to pursue niche opportunities.
Radically different business models	New ventures have no legacy systems, processes, or culture to defend.
Founder-driven vision	A passionate founder can persist against conventional wisdom and investor skepticism.
High-risk opportunities	Entrepreneurs can accept risks that corporate executives are unwilling to take because their careers are at stake.
Strong customer intimacy required	Startups often maintain direct contact with early customers and learn faster.
Industries undergoing major disruption	Technological shifts often create opportunities for entrepreneurs before incumbents react.

1099

When *Intrapreneurs* have a Clear Advantage

Condition	Why Intrapreneur Wins
Requires huge capital investment	Large firms can fund billion-dollar projects that startups cannot afford.
Long R&D time horizons	Corporations can sustain research for many years before seeing returns.
Needs sophisticated infrastructure	Existing factories, logistics, laboratories, or data centers already exist.
Highly regulated industries	Large organizations possess legal, compliance and regulatory expertise.
Requires access to large customer base	Corporations have established distribution channels and brands.
Complex ecosystem coordination	Large firms can mobilize suppliers, partners, and internal functions.
Global scaling required immediately	Large enterprises can leverage international operations from day one.
Need for specialized talent pools	Corporations often have teams of world-class experts available internally.

1100

“Entrepreneurs excel when uncertainty is high and resources are scarce; intrapreneurs excel when opportunity is proven but scale, expertise, and investment are critical.”

If the challenge mainly requires...	The odds favour
Speed, flexibility, risk-taking	Entrepreneur
Resources, scale, infrastructure	Intrapreneur
Challenging industry assumptions	Entrepreneur
Long-term R&D and capital	Intrapreneur
Niche opportunity exploitation	Entrepreneur
Global commercialization	Intrapreneur
Radical business model innovation	Entrepreneur
Complex technology development	Intrapreneur



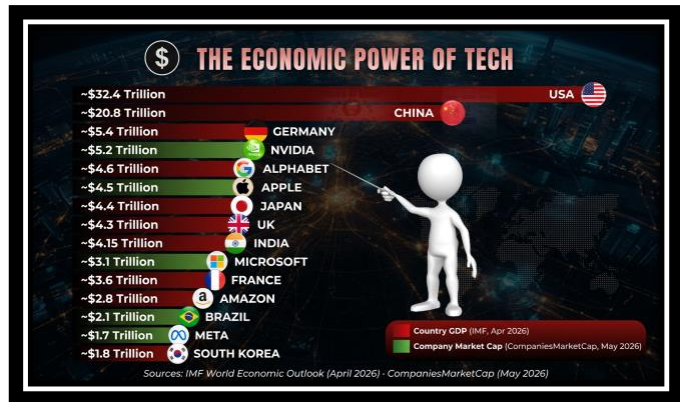
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Some subtle observations

1. Most startups fail; entrepreneurs do NOT become successful quickly
2. Intrapreneurs may create bigger innovations than entrepreneurs
3. Entrepreneurs *take* risks; Intrapreneurs *manage* risks
4. Entrepreneurs fight the market; Intrapreneurs fight the organisation
5. Employees often generate more ideas than executives
6. Mega size companies offer resource-rich innovation incubators
7. Large companies kill many good ideas
8. Many entrepreneurs were initially intrapreneurs



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A model for starting up a new venture

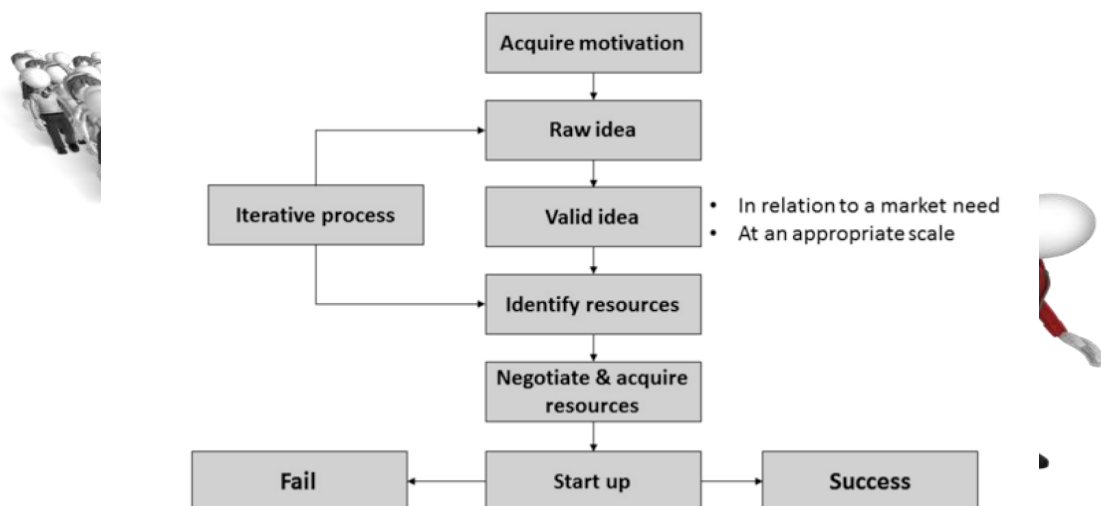


Fig. 3.3 A new venture start-up process model

Source: T. Mazzarol and S. Reboud, *Entrepreneurship and Innovation: Theory, Practice and Context*, 4th Edition, Springer, 2020.

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Common ways to nurture innovation by companies

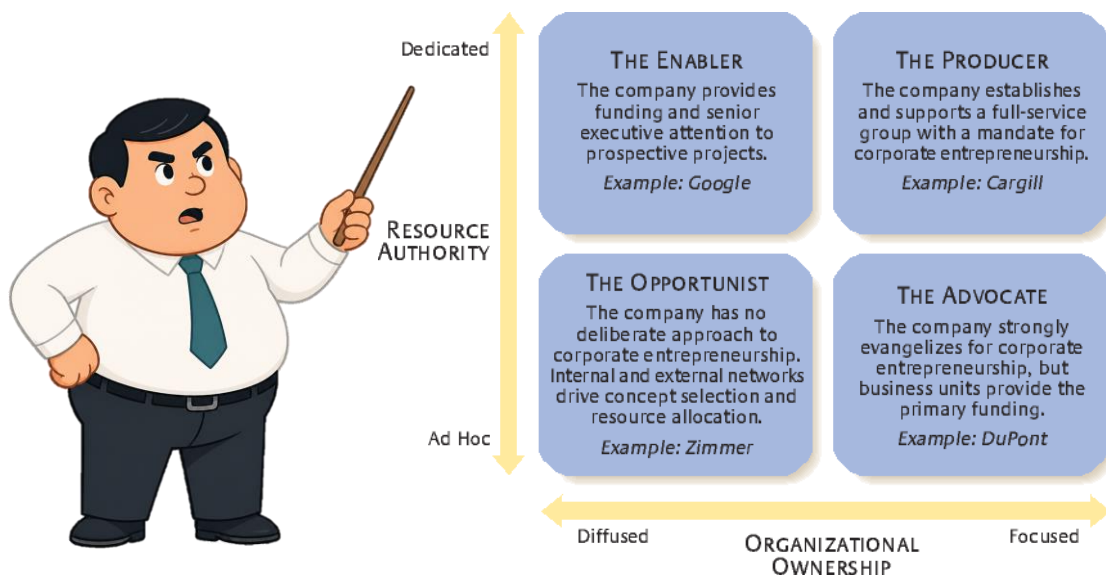
Table 4.1 Organizing innovation—selected cases

Model	Acquisitions	Partnerships	Internal incubators	Autonomous units	Entrepreneurial organizations
Cases	ISS, Mittal Steel, Microsoft, Cisco	Valeo, AstraZeneca, Novartis,	Telefonica-Wayra, Xerox XTV, Shell	Dow Chemical, RR Donnelly, Pitney Bowes	3M, Apple, IKEA, Intuit
Features	Appropriate for highly uncertain environments. Need excess cash or debt capacity.	Adaptation to specific development needs	Portfolio investment mentality Radar	New venture unit most common model Reward for creativity	Innovation part of DNA Part of everyone's daily activity
Strengths	Can choose "winning horses" Choose companies that have fit with strategy.	Benefits of flexibility Permits pooling of the resources/capabilities of more than one firm.	Developed opportunities—Allows for control.	Isolate new unit from tyranny of established business Relatively easy to set up	Continuous innovation Tolerance for failures
Limitations	Costly: typically high premiums have to be paid Reduces capability development in new areas	Risk of cultural clash Learning restrictions	Substantial resource requirements Portfolio management experience	Sustainability Reintegration	Difficult to replicate Large number of small ideas

Source: J. Canals, Shaping Entrepreneurial Mindsets, Palgrave Macmillan, 2015.

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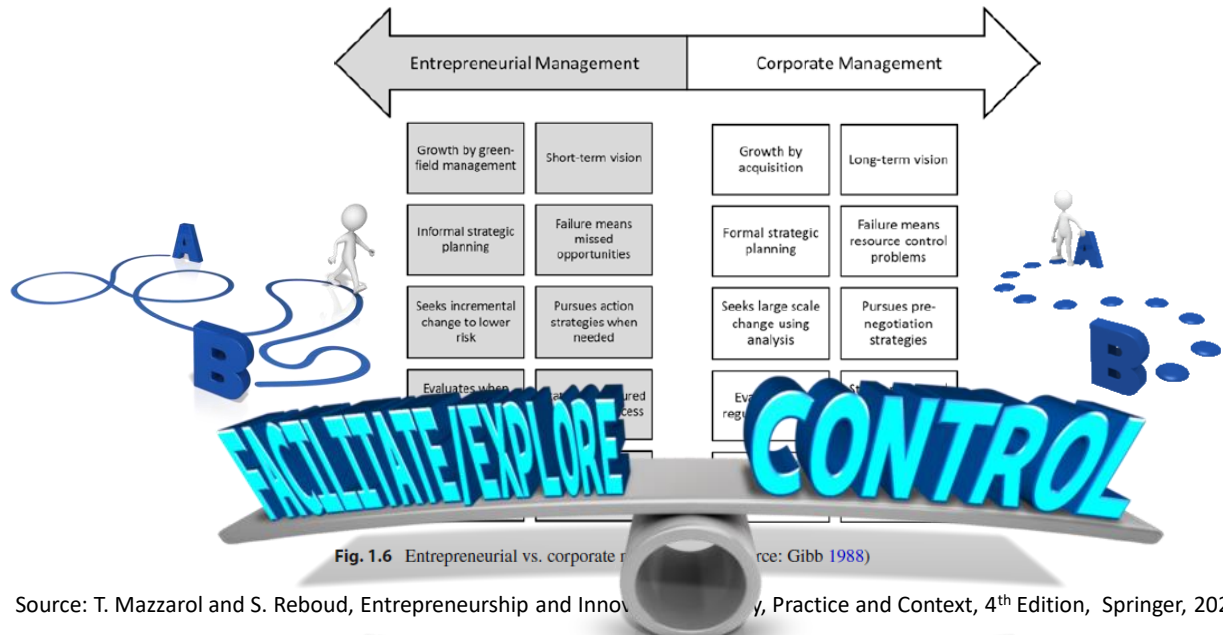
Four Models of Intrapreneurship Innovation



Source: <https://integrative-innovation.net/?p=1698>

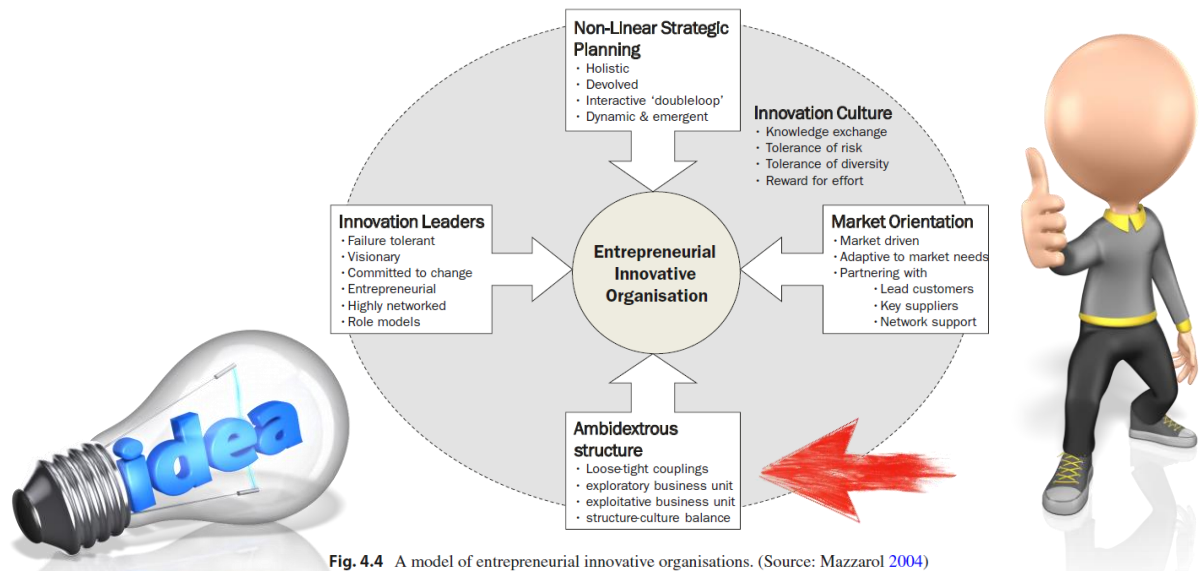
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Entrepreneurship Vs Corporate Management



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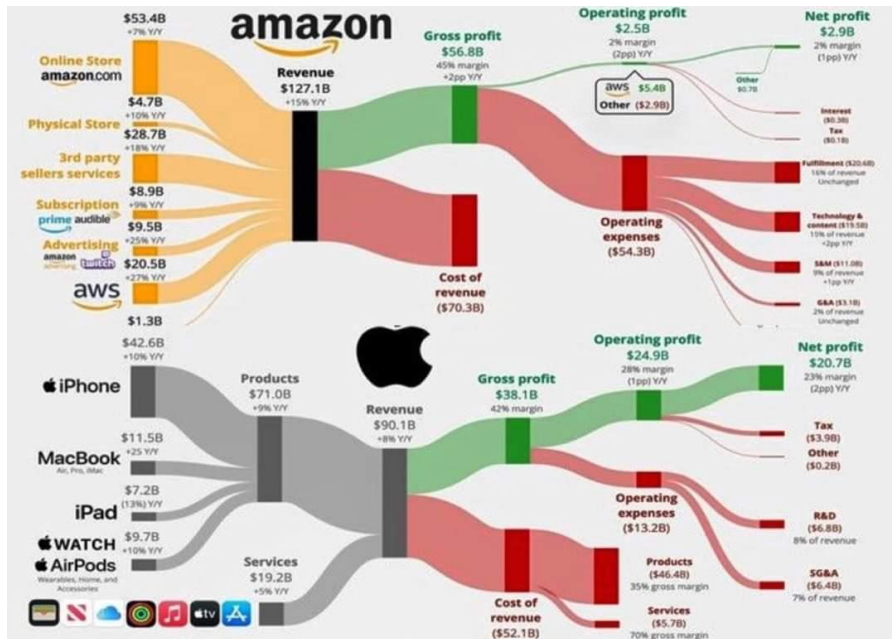
A model of entrepreneurship innovative organisations



Source: T. Mazzarol and S. Reboud, Entrepreneurship and Innovation: Theory, Practice and Context, 4th Edition, Springer, 2020.

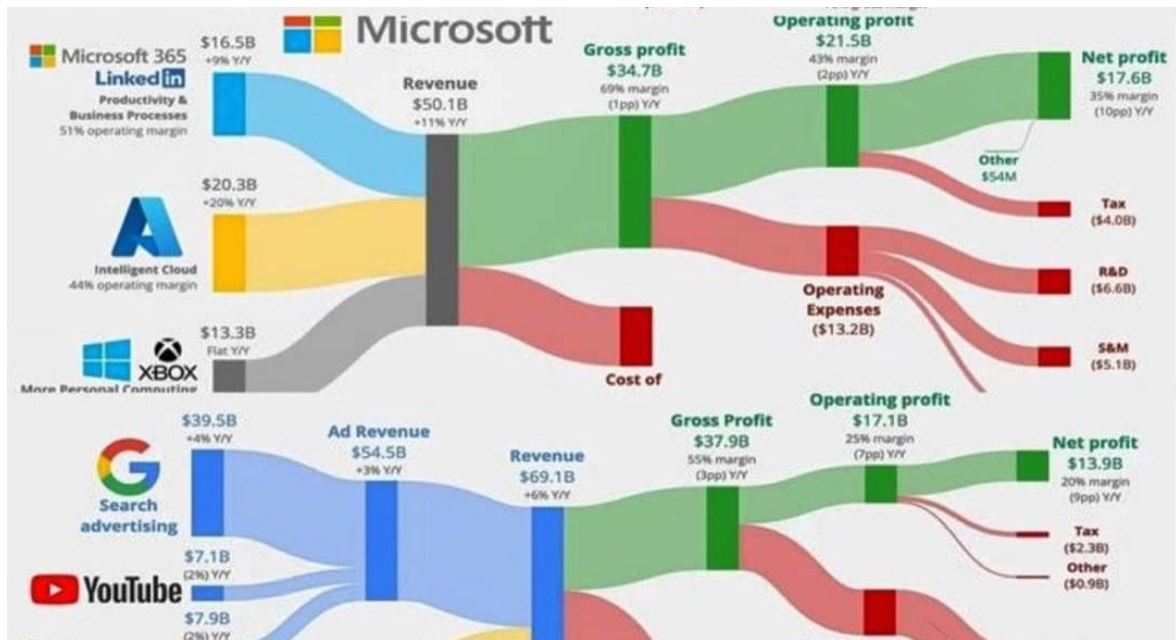
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Revenue & Net profits of Amazon, Apple, Microsoft & Google



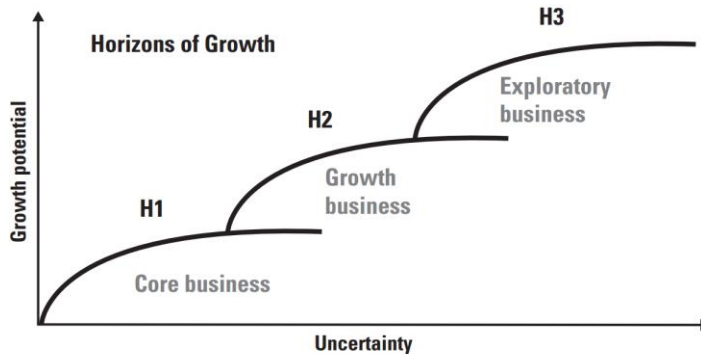
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Revenue & Net profits of Amazon, Apple, Microsoft & Google



1113

IBM's Organizational Evolution



Core businesses are the current mature products, services and markets. They are managed for profit and cash performance—they also require investment, though innovation is likely to be incremental.

Growth businesses take robust offerings and scale them to maximize share and revenue. Metrics focus on customer acquisition, market share, and market awareness/preference.

Exploratory businesses: validate new business concepts through pilots potential customers. Hi priority on learning and iterating the offer to maximize market adopt Metrics are about exec

Power Servers

- *convergence of System i and System p servers
- *POWER8 CPUs running up to 5.0GHz, with integrated hardware acceleration
- *consolidate IBM i, Linux® & AIX™ workloads
- *enhance virtualization with PowerVM™
- *react to changing requirements with Capacity on Demand (CoD)
- *optimize power consumption and cooling costs with processor core cap and EnergyScale™ technology

Power 595
 * 8-64 CPUs
 * 16GB - 4TB memory
 * 144TB storage

Power 575
 * supercomputing node
 * 32 CPUs
 * 32GB memory

Power 570
 * 2-36 CPUs
 * 2GB - 768GB memory
 * 79.2TB storage

Power 550
 * 1-4 CPUs
 * 1GB - 256GB memory
 * 30.6TB storage

Power 520
 * 1-4 CPUs
 * 1GB - 64GB memory
 * 30.6TB storage

x86 & Blade

System x

- *Intel® Xeon® or AMD™
- *Open™ technology
- *X-Architecture™ provides the scalability & reliability to run business-class x86 applications
- *scale up to 16 CPU sockets in a single system with single-, dual-, or quad-core processors
- *hot-swappable components, including cooling fans, hard drives, power supplies, memory and PCI Express adapters
- *supports virtualization technologies from Microsoft, VMware, Red Hat, and Novell

Blade Center

- *POWER™, Xeon® or Open™ processors
- *unique design maximizes simplicity and cost savings
- *forwards and backwards compatibility
- *built on open, standards-based specification, blade.org
- *redundant midplane, I/O and power for all blades
- *chassis designed for the datacenter, ruggedized telco environments, or branch offices
- *reduce energy costs as well as cables with CoolBlue™ technology

Storage

Disk

- *DS8000
- *DS3200
- *DS6000
- *DS3300
- *DS4000
- *DS3400
- *DS4700
- *E3/P3000
- *DS4200

SAN

- *SAN Volume Controller (SVC)
- *SAN File System (SFS)
- *TS7700 & TS7510 virtualization engines
- *enterprise SAN directors
- *midrange SAN switches

Tape

- *TS3500 library
- *TS3310 library
- *TS3200 library
- *TS3100 autoload
- *TS1120 drive
- *TS1120 drive
- *3595 tape drive
- *3590 tape drive

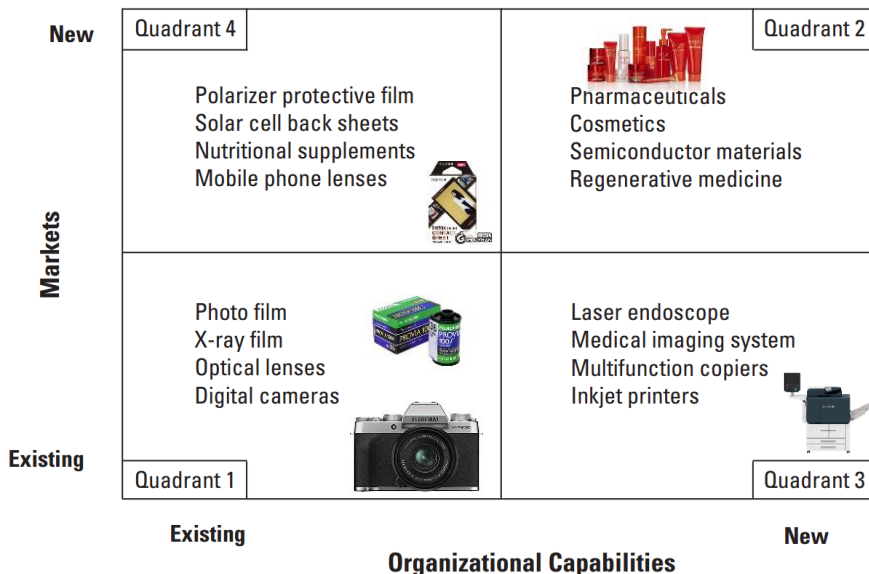
NAS

- *unify FCP, iSCSI, NFS, CIFS, HTTP and FTP file backups
- *optimal for D2D backup and nearline storage
- *N7000
- *N7000 NAS Gateway
- *N5000
- *N5000 NAS Gateway
- *N3700
- *N3700 NAS Gateway

Source: C. A. Oreilly and M. Tushman (2021), Lead and Disrupt, Stanford Business Books, Stanford University Press, 2021

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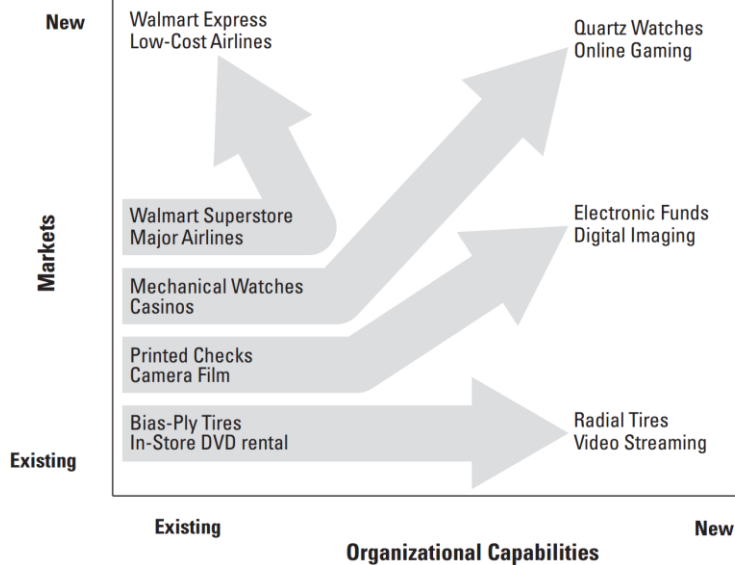
Fujifilm 2000–2020: Innovation Streams



Source: C. A. Oreilly and M. Tushman (2021), Lead and Disrupt, Stanford Business Books, Stanford University Press, 2021

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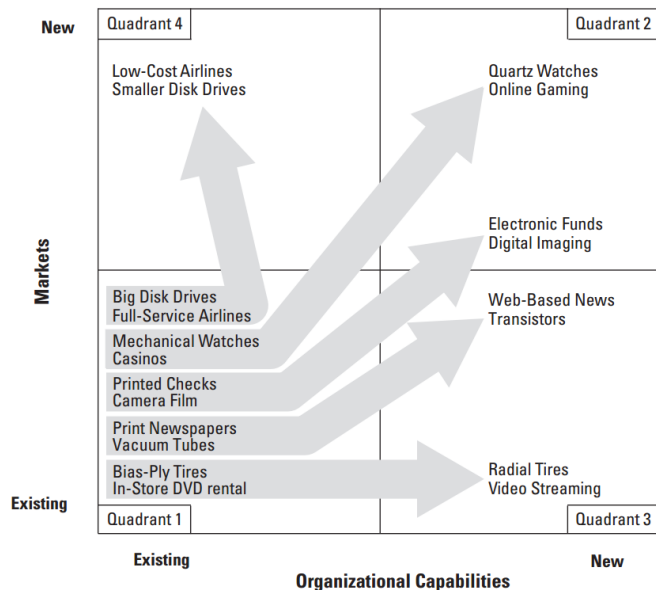
Innovation Streams



Source: C. A. Oreilly and M. Tushman (2021), Lead and Disrupt, Stanford Business Books, Stanford University Press, 2021

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Innovation Streams



Source: C. A. Oreilly and M. Tushman (2021), Lead and Disrupt, Stanford Business Books, Stanford University Press, 2021

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A model of entrepreneurship innovative organisations

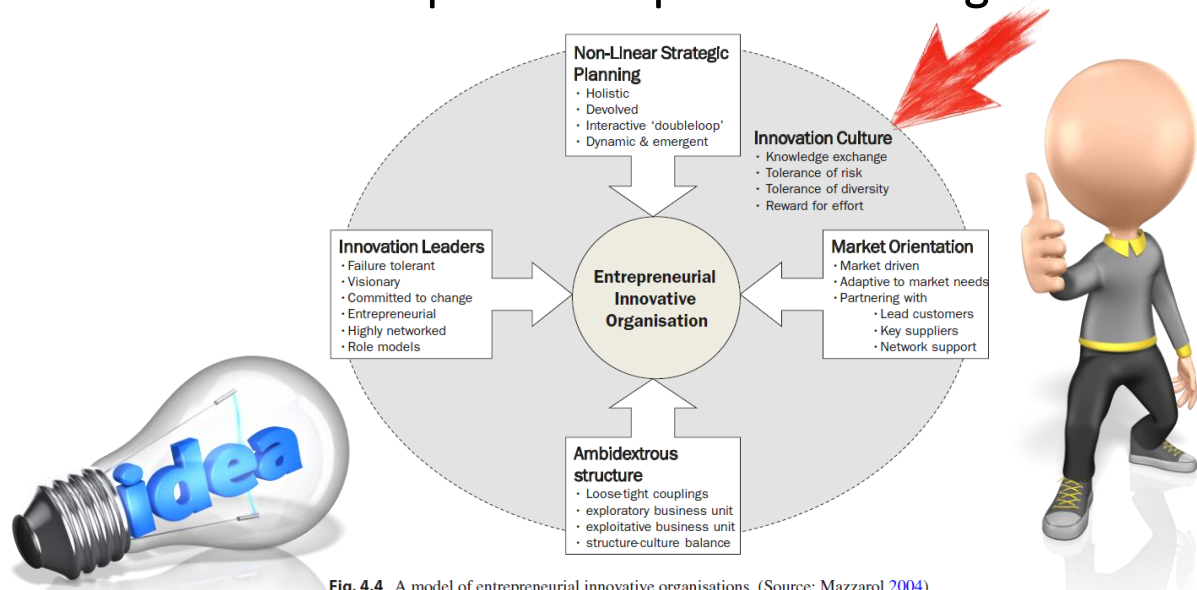


Fig. 4.4 A model of entrepreneurial innovative organisations. (Source: Mazzarol 2004)

Source: T. Mazzarol and S. Reboud, Entrepreneurship and Innovation: Theory, Practice and Context, 4th Edition, Springer, 2020.

1119

Strong innovation culture & digital investments

Organizations with strong innovation cultures excel at leveraging digital investments to differentiate themselves from their competitors.

Digital investment success of organizations by type and innovation culture, % of respondents

Disagreed innovative culture gave them competitive edge Agreed innovative culture gave them competitive edge

Platform-enabled network effects



AI-powered operations and innovation



Global-scale tech backbone



Tech talent



Note: Figures may not sum to 100%, because of rounding.
Source: McKinsey Global Survey on digital strategy, 2023, n = 1,086

McKinsey & Company



1120

Personality traits of a successful entrepreneur

Entrepreneurial Traits

- Recognising and taking advantage of opportunities
- Resourceful
- Creative
- Visionary
- Independent thinking
- Hard working
- Optimistic
- Innovative
- Willing to take risks
- Able to provide leadership for others



Source: T. Mazzarol and S. Reboud, Entrepreneurship and Innovation – Theory, Practice and Concepts, 4th Edition, Springer, 2020.

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Characteristics of an Intrapreneur

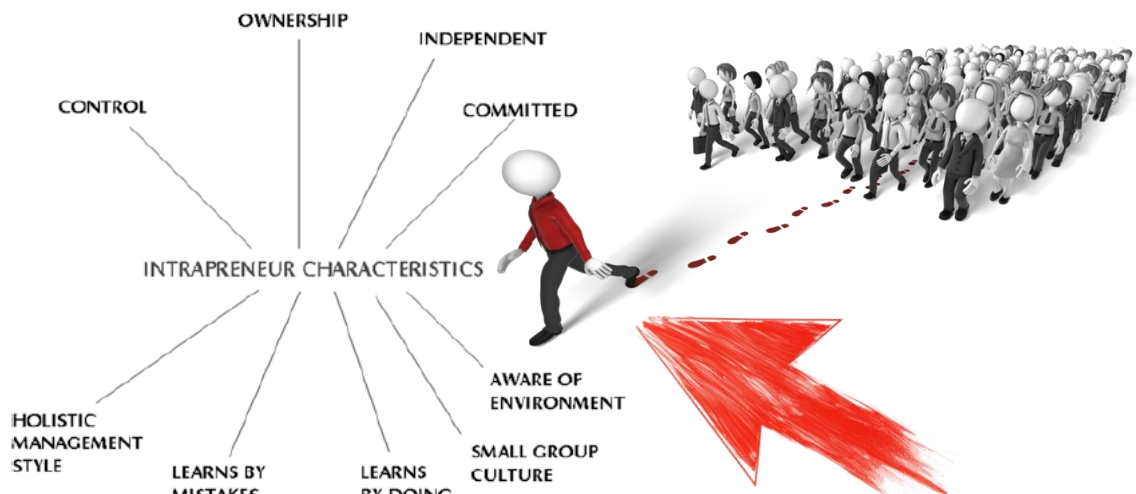


Fig. 4.1 A model of the entrepreneurial manager

Source: T. Mazzarol and S. Reboud, Entrepreneurship and Innovation – Theory, Practice and Concepts, 4th Edition, Springer, 2020.)

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Watch this clip to appreciate the charisma of a successful Intrapreneur introducing a new product to his staff



1123

Critical success factors for Intrapreneurship



- Consistency between the objectives of the entrepreneurial core and the fundamental objectives of the company
- Support offered by the senior management of the company for the initiation and development of intrapreneurial approach
- A functional, effective and flexible organisation structure
- Existence within the company of human resources with high entrepreneurial potential
- Have a complex of resources that support initiation and development of the intrapreneurial approach

(Ionescu and Bolcas, 2019)

1127